

COMP-REG-3473: Compliance Reference Document

Department: Compliance

Author: David Schmitt

Effective Date: 2023-10-02

Document Scope and Executive Summary

This Compliance Reference Document (CRD) provides a comprehensive overview of the policies, procedures, and governance

The purpose of this CRD is to:

- * Provide a centralized resource for compliance-related information
- * Ensure consistency and transparency in compliance practices across the organization
- * Facilitate effective compliance monitoring and reporting
- * Support continuous improvement and risk management

2. Core Policies and Standard Operating Procedures

Policy 1: Anti-Money Laundering (AML) and Combating the Financing of Terrorism (CFT)

- * Purpose: To prevent and detect money laundering, terrorist financing, and other financial crimes
- * Scope: Applies to all employees, contractors, and third-party vendors
- * Procedures:
 - + Conduct customer due diligence (CDD)
 - + Monitor transactions for suspicious activity
 - + Report suspicious activity to the Financial Intelligence Unit (FIU)

Policy 2: Data Protection and Confidentiality

- * Purpose: To protect personal data and confidential information from unauthorized access, use, or disclosure
- * Scope: Applies to all employees, contractors, and third-party vendors handling sensitive data
- * Procedures:
 - + Implement robust access controls and encryption measures
 - + Conduct regular security audits and penetration testing
 - + Report breaches or potential breaches to the Data Protection Officer (DPO)

Policy 3: Insider Trading and Confidential Information

- * Purpose: To prevent and detect insider trading, unauthorized disclosure of confidential information, and other forms of financial fraud
- * Scope: Applies to all employees, contractors, and third-party vendors with access to confidential information
- * Procedures:
 - + Establish confidentiality agreements for employees, contractors, and third-party vendors
 - + Monitor employee trading activities and report suspicious transactions
 - + Conduct regular training on insider trading and confidential information

3. Compliance Monitoring, Penalties, and Operational Governance

Compliance Monitoring

- * Frequency: Quarterly reviews of compliance metrics and performance indicators
- * Scope: Applies to all compliance policies and procedures
- * Procedures:
 - + Review compliance metrics and performance indicators

- + Identify areas for improvement and implement corrective actions
- + Report findings and recommendations to senior management and the Audit Committee

Penalties for Non-Compliance

- * Types of penalties:
 - + Written warnings
 - + Suspension or termination of employment
 - + Legal action against individuals or third-party vendors
- * Criteria for imposing penalties: Willful non-compliance, repeated violations, or gross negligence

Operational Governance

- * Compliance Officer (CO):
 - + Responsible for overseeing the compliance program and reporting to senior management
 - + Coordinates training and awareness programs for employees
 - + Monitors compliance metrics and performance indicators
- * Compliance Committee:
 - + Reviews and approves compliance policies and procedures
 - + Oversees compliance monitoring and reporting
 - + Provides guidance and support to employees

Annex A: Glossary of Terms

- * AML/CFT: Anti-Money Laundering/Combating the Financing of Terrorism
- * COI: Conflict of Interest
- * CDD: Customer Due Diligence
- * DPO: Data Protection Officer
- * FIU: Financial Intelligence Unit
- * IA: Insider Activity
- * SOX: Sarbanes-Oxley Act

Annex B: Compliance Training and Awareness Program

- * Overview: Provides an overview of the compliance program, policies, and procedures
- * Frequency: Quarterly training sessions for employees
- * Scope: Applies to all employees, contractors, and third-party vendors
- * Procedures:
 - + Conduct regular training sessions on compliance topics
 - + Provide ongoing support and guidance to employees
 - + Monitor employee understanding and knowledge of compliance matters

Annex C: Compliance Metrics and Performance Indicators

- * Overview: Provides a summary of the key performance indicators (KPIs) used to measure compliance program effectiveness
- * Frequency: Quarterly reviews of KPIs
- * Scope: Applies to all compliance policies and procedures
- * Procedures:
 - + Track and monitor KPIs, such as training participation rates and compliance metrics
 - + Identify areas for improvement and implement corrective actions
 - + Report findings and recommendations to senior management and the Audit Committee